

British American Tobacco : The Lyft You Need

We issue a **BUY** recommendation on B.A.T Kenya with a target price of **KES 503.25** representing an upside of **15.69 %** on the current price of **KES 435.00** as of Friday 17th December 2021. Our valuation is brought about by the expectation of tobacco consumption patterns to tend back to pre-covid levels and increase the domestic sales volume for B.A.T. Additionally, the company has shown resilience during the 2020 period given its strategy to expand its customer base to other countries. We furthermore expect its new product lyft to increase the company's revenue and allow B.A.T to tap into a new market given the products ability to overcome major risks associated with traditional tobacco consumption.

- **New category - Lyft to boost revenues:** Lyft was introduced into the market in late 2019 however sales were halted in October 2020 due uncertain regulations and government concern around the product. Despite the predicaments around the product, we view lyft as a potentially good offering for future revenue generation given the first movers' advantage within the country and continent leading. The company has given a guidance of an estimated inflows of **KES 7.50Bn** within the first 5 years of operation.

- **Domestic consumption growth slows:** In the year ended 2020, B.A.T recorded a **24.00%** y/y decline in volume sales, this was largely attributed to an **11.91%** y/y decline in the company's domestic market revenue to **KES 11.60Bn**. Lost sales were driven by the illicit trade of tobacco-based products which offered a cheaper alternative to consumers who faced major income difficulties in the wake of the covid-19 pandemic. Additionally, the government intensified its hawkish view of the tobacco market resulting in harsher product regulations and higher tax obligations for the company. However, we expect domestic volume sales to grow as economic conditions improve allowing consumers to spend a larger proportion of their income on tobacco.

- **Stringent operating environment:** B.A.T. continues to face a harsh operational environment in Kenya due to tough guidelines on marketing and distribution implemented by the government and further pushed for by lobbying groups. This may create difficulty in setting a foothold of new brands such as Rothmans that the company intends to introduce to the market as it restructures its current product portfolio. However, we expect B.A.T to focus on its export markets such as Somalia, Sudan and Egypt which constitute of less rigid legislative structures to counter the current Kenyan tobacco consumption climate.

22nd December 2021

Current price: KES 435.00

Target price: KES 503.25

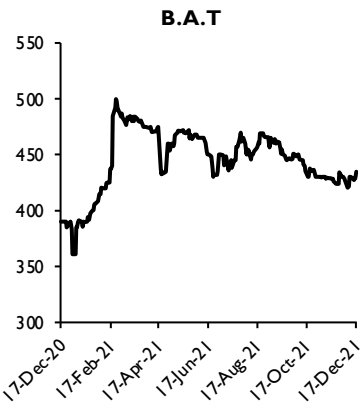
Upside: 15.69%

52 Week High: KES 499.75

52 Week Low: KES 361.00

EPS (1H21) - KES 26.98

DPS (1H21) - KES 3.50



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KEY INVESTMENT RISKS

- **Contraband sales to threaten growth:** The company's performance took a major blow in 2020 due to the increase in the illegal trade of tobacco products. The illicit sales of the goods considerably contributed to the **24.00%** y/y decline in domestic volumes that the company faced. The increase was majorly attributed to a growing black market offering tax-evaded alternatives to income strapped consumers who were grappling with the economic effects of the covid-19 pandemic. Additionally, the growing tax regimes, lack of border control and light penalties for illicit traders have created an attractive operating environment for the sale of tobacco contraband. This poses a significant threat for B.A.T as it attacks the top line growth and profitability of the company. As a result of Kenya's high growth in illicit tobacco trade combined with the governments lack of strict measure to combat the criminal trade, this remains a key concern for the domestic growth of the company.

- **Tax Distress:** In November 2019, the government increased the tax on cigarettes by 14.00% decreasing the bottom-line growth of the company, this was further intensified by a 5.00% increase in excise duty on cigarettes in October 2020 which was passed on to consumers. The intense tax measures placed on the company have affected consumer affordability leading to the increase in illicit trade of tobacco products within the market. Despite the long negotiations with the government, B.A.T faces major instability in business operations due to the devolution of the legal tax structure to counties which may create overlapping tax requirements and unpredictable tax obligations. We expect tax payments to increase for the company as the government tightens tax measures and pertains its strict view on tobacco products. However, B.A.T's tax payments may be marginally reprieved if new regulation is placed on taxing its new category product lyft.

KEY INVESTMENT DRIVERS

- **Expansion to new markets:** Given the decrease in local consumption owing to regulatory curbs and rising prices following the governments additional taxes, B.A.T has catalysed its strategy in the expansion of its export markets beyond its current African sub-region including 13 countries. B.A.T is targeting Djibouti, Madagascar and South Sudan with cigarettes, cut rag tobacco and tobacco-free oral nicotine pouches, Lyft. Moreover, they are looking into the Common Market for East and Southern Africa (COMESA) for further expansion. The Company's green leaf threshing plant in Nairobi will work to supply various markets and produce a range of products. The factory will also become a manufacturing hub for the Eastern Europe, Middle East and Africa region. Exports to these countries will be further boosted by the company's investments in a new warehouse that will cater to increase product storage capacity targeted for export markets. Export revenues hit **KES 13.70Bn** in FY20, representing **54.20%** y/y of **KES 25.30Bn** total revenues particularly due to growth in volumes to Egypt and Sudan. We expect export revenues to increase driven by B.A.T's aggressive approach to the international market expansion.

- **Product porfolio transformation:** In 2020 B.A.T embarked on transforming their cigarette portfolio to fewer brands that are more globally recognized. This involved modernization of their premium category involving a migration from Embassy to its premium cigarette brand Dunhill. Furthermore, the company's 2021 agenda involved migrating from a local well-known and affordable brand Sports-man to a more established global brand Rothmans. This shift in portfolio brand is likely to advance the local foothold and increase innovation in the company's products as they seek to enhance local consumption variety and establish brand responsiveness in international markets.

NEW CATEGORY: LYFT

Lyft is a new product classified as a nicotine pouch which was introduced under B.A.T's portfolio, the pouch has been offered as an alternative to the traditional market of nicotine that has been regarded as more harmful. It is dispensed in small pouches for placement in front of the upper gum and is distributed in flavours such as mint, coffee, berry and cream. Lyft has also been categorized in the company's operational revenue shift as a vital source of potential cashflows and diversification of products that will allow the company to expand its income base which has been deeply threatened by various factors. Nicotine pouches such as lyft were introduced globally in 2018 to cater to a new consumer need of nicotine with less conspicuous usage.

- **Alternative driven:** Lyft has offered a modern oral nicotine intake solution for consumers who are intending to reduce or eradicate combustible nicotine intake which will allow B.A.T to access an untapped market. This trend has emerged as a strategy in many tobacco-based companies globally with nicotine pouches introduced in countries such as U.S, U.K, Sweden and Indonesia. The product has been projected to be appealing and popular for low- and middle-income countries such as Kenya due to its affordability . B.A.T group sales of nicotine pouches has been proven successful with growth up **62.00%** y/y from 1.90Bn pouches sold globally in 2020. In Kenya, the market uptake of the product reflected simillar positive penetration from the quick acceptance due to its ease of use, accessibility and affordability signaling early success for the company.

- **Potential revenues:** The new product has been boosted by a large capital driven investment of **KES 2.50Bn** towards a new factory plant , the factory will specifically cater to the production of Lyft for domestic and external markets. The Thika based factory is projected to deliver **KES 7.50Bn** in export revenue from Africa and overseas over the next five years. This will earn the government a receipt of **KES 1.50Bn** from import duty on raw materials. Additionally, the plant will support close to 50,000 Kenyan business within the value chain and over 80 additional direct jobs for Kenyans.

- **Regulation woes:** The popularity of the product has similarly generated extensive scrutiny and alarm due to the ambiguous regulation bounds that the product lies within. Nicotine pouches have raised regulation question marks globally with most countries not subjecting the product to any classification or regulation. In Kenya, heavy lobbying from the Kenya Tobacco Control Alliance(KETCA) merged with major distress from the Ministry of Health (MoH) has led to a temporary ban of the product implimented in October 2020 as new regulations were considered. This poses a major risk for B.A.T as the benefit of the product is likley to quickly decline if the classification will be placed under the current tobacco product list and led subjective to the stringent tobacco control act and accompanying taxes.

- **Public Health Concerns:** Minimal research performed on the chemistry and health effects of the pouches has led to large public outcry for the ban or restriction of the product until sufficient research has been undertaken. Furthermore, public concern has grown from claims that the attractive flavours of the pouches make them an ideal nicotine starter for teenagers and young adults trapping them into life-long addiction. This may create a hurdle for initial uptake of the product that may be subject to tight distribution protocols.

- **New Category Outlook:** We view the recent divergence into the new product positive for the company as it holds a large threshold of potential revenue. Given the products unique characteristics that conform to the changing consumption patterns of the traditional tobacco consumer base, we anticipate a positive uptake of lyft. However, we remain concerned of the ongoing ambiguous legislative structure the product lies within.

1H21 OVERVIEW AND FY21 OUTLOOK

- **Export markets to drive top line growth:** In 1H21, net revenue increased by **21.80%** y/y to **KES 20.30Bn** bringing up profit before tax by **5.20%** y/y to **KES 3.90Bn**. The increase in revenue was mainly attributed to the increase in exports and a better operating environment due to lesser restrictions compared to H120. The company experienced growth in sales following its latest strategy that involves expanding product distribution into other countries such as Egypt, Somalia and Sudan. We expect to see a continued increase in export growth by **9.00%** y/y to **KES 15.00Bn** and in turn total revenue to **27.20Bn (+7.17% y/y)** in FY21 as B.A.T taps its sales into other African countries.

- **A steady bottom line:** Expenditure costs have been on the rise over the recent years mainly due to an increase in the cost of raw materials and manufacturing. In 1H21, operating expenditure increased by **27.20%** y/y to **KES 8.60Bn**. However, marginal declines in marketing, distribution and administrative costs have been observed, highlighting efficiency in the company and reduced costs due to employees working from home. The recent increase in exports and diversified products have led to a rise in inputs and factory costs thus resulting in the overall increase in expenditure. We expect opex to continue rising steadily in FY21 as the company restructures its product portfolio. The company's profitability has been progressively rising illustrating the company's strong fundamental operational structure. This was particularly observed in 1H21 with **a 0.70%** y/y increase in profit after taxes to **KES 2.70Bn** amidst the tough economic and operational environment. Despite the stringent tax measures in play we expect the company's profitability to continue to remain strong and gradually increase in FY21 by **2.61%** y/y to **KES 5.66 Bn.**

- **Working capital reduction shrinks balance sheet:** 1H21 saw a contraction in the balance sheet attributable to a **49.92%** y/y decrease in net working capital. However, cash generated from operations increased by **667.63%** y/y to **KES 3.62Bn**. We anticipate that the balance sheet will close at a **12.65%** y/y growth to **KES 21.14Bn** for FY21. We additionally expect further growth to be driven by investments in plant expansion, property and equipment as it expands its factory plant in Thika.

- **Strong dividend Policy:** B.A.T has maintained a constant streak in dividend pay-outs adhering to its 65% pay-out ratio dividend policy. In 1H21, the board of directors approves a **KES 3.50** per share dividend despite the tough operating environment. This has brought about value to company by reflecting its liquidity and further increased value for dividend preference investors. We anticipate that the company will continue to distribute its earnings in the FY21 given the better trading environment for its products and higher expected growth in revenue.

Table 1 : Key Ratios

	FY'2021	FY'2022	FY'2023	FY'2024	FY'2025
ROA	26.78%	24.38%	23.76%	23.00%	22.24%
ROE	42.35%	37.76%	35.77%	34.15%	33.01%
Operating Profit margin	32.28%	30.90%	31.24%	31.31%	31.58%
Operational expenses growth	6.77%	8.09%	4.46%	3.87%	2.13%
P/BV	3.22	2.85	2.55	2.35	2.22
Debt : Equity	0.58	0.55	0.51	0.48	0.48
Debt : Assets	0.37	0.35	0.34	0.33	0.33

Source: Company filings, AIB-AXYS

VALUATION SUMMARY

We issue a **BUY** recommendation on B.A.T Kenya with a target price of **KES 503.25** representing an upside of **15.69 %** on the current price of **KES 435.00**. This price valuation is based on the Dividend Discount Model, residual income method and relative valuation methods. The risk-free rate is pegged on the 10-yr government Bond rate.

Table 2 : Cost of equity assumptions

Assumptions	
Risk Free Rate	12.70%
Market risk premium	5.30%
Company Beta	0.88
Cost of Equity	17.40%

Table 3 : DDM assumptions

	FY'2021	FY'2022	FY'2023	FY'2024	FY'2025
Dividends	3,963,103	4,278,934	4,824,446	5,305,087	5,753,684
Terminal Value					47,264,347
Discount Factor	0.85	0.73	0.62	0.53	0.45
Present Value	3,375,730	3,104,562	2,981,566	2,792,684	23,773,072
Value of equity	36,027,615				
Number of Shares	100,000				
Value Per Share(KES)	**362.74**				

Table 4 : Methodology Weightings

Methodology Weightings	Weight	Implied Price	Weighted Price
Dividend Discount Model	40.0%	362.74	145.10
Residual Income Model	40.0%	447.61	179.04
EV/EBITDA	10.0%	974.83	97.48
P/E Basis	10.0%	816.22	81.62
Target Price			503.25
Current Price			435.00
Upside/(Downside)			15.69%
Dividend Yield			0.80%
Total Return			16.49%

Source: Company filings, AIB-AXYS

Table 5 : Financial Statement Summary

	FY'2021	FY'2022	FY'2023	FY'2024	FY'2025
Non-current assets	10,951,391	11,338,786	12,111,245	12,781,858	13,328,200
Cash and cash equivalents	238,717	1,917,204	2,967,166	3,960,426	5,045,806
Current assets	10,189,328	12,066,575	13,267,506	14,353,924	15,423,403
Total Assets	**21,140,718**	**23,405,361**	**25,378,751**	**27,135,782**	**28,751,603**
Total Equity	13,367,641	15,109,783	16,861,406	18,278,239	19,366,134
Non-current liabilities	2,053,693	2,210,176	2,208,906	2,350,902	2,765,685
Total equity and liabilities	**21,140,718**	**23,405,361**	**25,378,750**	**27,135,782**	**28,751,603**

Table 6: Income Statement Summary

	FY'2021	FY'2022	FY'2023	FY'2024	FY'2025
Local sales	12,188,067	12,919,351	13,565,319	14,107,931	14,390,090
Export sales	14,967,394	15,865,437	16,658,709	17,325,058	17,844,809
Total Revenue	**27,155,461**	**28,784,789**	**30,224,028**	**31,432,989**	**32,234,900**
Operating Expenses	(18,522,262)	(20,021,178)	(20,913,714)	(21,722,047)	(22,185,268)
PBT	8,087,965	8,150,350	8,615,082	8,916,112	9,132,831
PAT	**5,661,576**	**5,705,245**	**6,030,557**	**6,241,278**	**6,392,982**

Source: Company filings, AIB-AXYS



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